ROYALTYOS / CONTRACT PARSING TEST SUITE

Marginal Royalty Tiers, Annual Milestone Bonus & Recoupment Agreement

A cumulative marginal-band split, capped priority recoupment, quarterly performance overlay, and producer-funded milestone transfer.

SYNTHETIC TEST DOCUMENT

The parties, addresses, thresholds, balances, formulas, and payments in this document are fictional test data. This document is designed to exercise contract extraction and payout-calculation logic. It is not legal, tax, accounting, or investment advice and should not be signed or relied on as an operative agreement.

PARTIES AND CANONICAL ROLE KEYS

RoyaltyOS party key	Contract role	Payout email supplied in test screen
ARTIST	Artist	sb-chtub531737750@business.example.com
FEATURED_CREATOR	Featured Creator	sb-chtub531737750@business.example.com
MANAGER	Manager	sb-evnqd5317862@personal.example.com
PRODUCER	Producer	sb-evnqd5317862@personal.example.com

Document metadata	Value
Test ID	ROS-05
Calculation model	Statement pool crosses lifetime bands marginally; a separate annual bonus transfers existing Producer royalty to Artist without increasing total payouts.
Primary stress case	Marginal tier splitting within one statement, annual threshold accrual, two-quarter modifier, and transfer that preserves a minimum Producer share.
Currency / statement cadence	USD / monthly close unless a clause expressly defines a quarterly measurement window
Named recipients	Artist, Featured Creator, Manager, Producer only

Use each PDF as an independent contract scenario. Do not merge a balance, threshold counter, reserve ledger, or payout history from one PDF into another.

1. Participants and model separation

This agreement is a standalone synthetic scenario involving only ARTIST, FEATURED_CREATOR, MANAGER, and PRODUCER. It contains three different ledgers that must remain separate: (i) a priority Recovery Ledger, (ii) a cumulative Marginal Royalty Tier counter, and (iii) an annual Artist Bonus Ledger. A payout email is not an identity key.

2. Net receipts, reserve, and available pool

Gross Receipts G_t are cash actually collected during statement t. Permitted deductions D_t are actual platform/payment fees, taxes remitted, refunds and chargebacks posted, and approved documented direct Project expenses. Direct expenses are capped at 15% of G_t per statement unless approved in writing by all four parties. Net Receipts are floored at zero.

Cash waterfall

```
N_t = max(0, G_t - D_t)
H_t = min(0.10 * N_t, max(0, $35,000 - (ReserveBalance_open - U_t)))
P_t = N_t - H_t + U_t
R_t = min(0.50 * P_t, TotalRecoveryBalance_open)
Q_t = P_t - R_t
```

The reserve is 10% of N_t until the balance reaches $35,000. Each cohort releases 50% at 120 days and 50% at 240 days, subject to directly attributable unresolved chargebacks. Reserve release U_t is added to P_t and is not held back again. Priority recovery is interest-free.

3. Opening Recovery Ledger and waterfall

Recovery Ledger

Priority	Credit owner	Opening principal	Recovery order
1	Producer	$18,000	First
2	Artist	$12,000	Second
3	Manager	$6,000	Third
4	Featured Creator	$4,000	Fourth
	TOTAL	$40,000	No negative balance; no interest

R_t is applied in the order shown. If R_t is smaller than total opening recovery balance, the full R_t is distributed to the ordered credit owners and Q_t equals the remainder. If R_t clears all open recovery balances, unused pool amounts remain in Q_t. The royalty band counter advances only by Q_t; recovered principal does not advance the tier counter.

4. Marginal cumulative royalty bands

Each statement’s Q_t is split across the remaining capacity in the lifetime cumulative royalty bands. The threshold test is marginal, not retroactive: when Q_t crosses a boundary, only the portion above that boundary uses the next band. Define C_t as cumulative Q from all prior statements, after recoupment. The last band has no upper limit.

Marginal share schedule

Band	Lifetime cumulative base interval	Artist	Featured Creator	Manager	Producer
Tier 1	First $100,000	40%	25%	15%	20%
Tier 2	Over $100,000 through $300,000	45%	23%	12%	20%
Tier 3	Over $300,000 through $700,000	50%	20%	10%	20%
Tier 4	Over $700,000	54%	18%	8%	20%

Amount of pool assigned to each band k

```
Segment_k,t = max(0, min(C_t + Q_t, Upper_k) - max(C_t, Lower_k))
Royalty_i,t = sum over k [Segment_k,t * Share_i,k]
C_(t+1) = C_t + Q_t
For Tier 4, Upper_4 = infinity.
```

Use unrounded segment amounts and share products through the full calculation. Round final amounts to cents only after the annual bonus transfer is calculated. A statement that crosses several bands must contain one sub-calculation row per band crossed.

5. Two-quarter Featured Creator overlay

At the beginning of each calendar quarter, inspect the two immediately preceding completed calendar quarters. If each of those quarters had Net Receipts N of at least $150,000, activate the overlay for the current quarter: add 2 percentage points to Featured Creator and subtract 2 percentage points from Manager in every marginal band. Otherwise all base band percentages apply. Do not include the current quarter’s receipts in the trigger test.

Overlay percentages

Band	Base A / FC / M / P	Overlay A / FC / M / P
Tier 1	40 / 25 / 15 / 20	40 / 27 / 13 / 20
Tier 2	45 / 23 / 12 / 20	45 / 25 / 10 / 20
Tier 3	50 / 20 / 10 / 20	50 / 22 / 8 / 20
Tier 4	54 / 18 / 8 / 20	54 / 20 / 6 / 20

The overlay does not alter the marginal band boundaries, reserve, recovery waterfall, annual bonus entitlement, or tier counter. Since the performance trigger is quarter-based, all monthly statements within that quarter use the same overlay state.

6. Annual Artist milestone bonus funded only by Producer share

For each calendar year, the Artist earns a cumulative bonus entitlement equal to 2% of that year’s Net Receipts above $500,000. This is a transfer from Producer’s otherwise calculated royalty share to Artist; it does not add to Q_t, change the pool size, or alter the marginal band counter. Unpaid bonus entitlement carries forward without interest across month-end and year-end.

Annual entitlement and transfer formulas

```
Y_t = calendar-year cumulative N through statement t
NewEntitlement_t = 0.02 * (max(0, Y_t - $500,000) - max(0, Y_(t-1) - $500,000))
BonusBalance_pre = BonusBalance_open + NewEntitlement_t
ProducerCapacity_t = max(0, ProducerRoyalty_prebonus - 0.15 * Q_t)
BonusPaid_t = min(BonusBalance_pre, ProducerCapacity_t)
ArtistFinal_t = ArtistRoyalty_prebonus + BonusPaid_t
ProducerFinal_t = ProducerRoyalty_prebonus - BonusPaid_t
BonusBalance_close = BonusBalance_pre - BonusPaid_t
```

Y_(t-1) is the cumulative Net Receipts from earlier statements in the same calendar year and resets to zero on January 1. BonusBalance_open, unlike Y, does not reset at year-end. BonusPaid_t may not reduce Producer's final share below 15% of Q_t. If the cap prevents full payment, the unpaid bonus remains in BonusBalance_close and is funded from later Producer shares subject to the same cap.

The annual threshold is measured on N_t before reserve holdback and before priority recovery. It includes cleared Net Receipts even if the cash is currently held in reserve. The bonus is calculated after marginal royalty shares are computed, so the tier split is not recalculated because of the transfer.

7. Worked boundary-crossing statement

Assume the opening tier counter is C_t = $285,000 and the Royalty Pool Q_t is $80,000 after reserve and recovery. The two preceding completed quarters each exceeded $150,000, so the Featured Creator overlay is active. The statement's calendar-year cumulative Net Receipts rise from $550,000 to $610,000. The opening unpaid bonus balance is $1,000.

Marginal band allocation

Segment	Tier range consumed	Segment amount	Effective split A / FC / M / P
Tier 2 remainder	$285,000 to $300,000	$15,000	45 / 25 / 10 / 20
Tier 3	$300,000 to $350,000	$65,000	50 / 22 / 8 / 20
TOTAL	C rises from $285,000 to $365,000	$80,000	100% per segment

Pre-bonus payouts

Party	Tier 2 amount	Tier 3 amount	Royalty before bonus
Artist	$6,750.00	$32,500.00	$39,250.00
Featured Creator	$3,750.00	$14,300.00	$18,050.00
Manager	$1,500.00	$5,200.00	$6,700.00
Producer	$3,000.00	$13,000.00	$16,000.00
TOTAL	$15,000.00	$65,000.00	$80,000.00

The new bonus entitlement is 2% x ($610,000 - $550,000) = $1,200.00. Adding the $1,000.00 opening unpaid balance gives $2,200.00. Producer capacity is $16,000 - (15% x $80,000) = $4,000.00. Therefore BonusPaid_t = $2,200.00.

Final payout after the transfer

Party	Pre-bonus royalty	Transfer	Final payout
Artist	$39,250.00	+$2,200.00	$41,450.00
Featured Creator	$18,050.00	$0.00	$18,050.00
Manager	$6,700.00	$0.00	$6,700.00
Producer	$16,000.00	-$2,200.00	$13,800.00
TOTAL	$80,000.00	$0.00	$80,000.00

Expected assertion

The bonus changes the identity of who receives $2,200.00 but does not change the $80,000.00 total. Producer retains $13,800.00, which is 17.25% of Q_t and therefore above the 15% floor.

8. Statement, rounding, and correction policy

- Issue monthly statements within 15 calendar days after month-end and pay undisputed amounts within 10 business days.
- The statement must show opening recovery balances, recovery paid per priority, Q_t, C_t, each band segment, base or overlay percentages, each participant's pre-bonus amount, Y_t, NewEntitlement_t, BonusBalance_open, BonusPaid_t, and closing bonus balance.
- Calculate using full precision through the bonus transfer. Round final individual amounts to cents. Any one-cent rounding residual must be assigned to Artist after bonus transfer, while preserving the total paid equal to P_t.
- An individual amount below $100 carries forward in that party's payable account; it is not redistributed. Disputes must identify exact band segments or ledger entries within 30 calendar days.

9. RoyaltyOS unit-test assertions

Required unit tests

Test	Inputs	Expected result
Tier crossing	C=$285,000; Q=$80,000	$15,000 in Tier 2 and $65,000 in Tier 3; never apply one split to all $80,000.
Boundary exactly at $300k	C=$250,000; Q=$50,000	All $50,000 is Tier 2; no Tier 3 slice.
Boundary over $300k	C=$299,000; Q=$2,000	$1,000 Tier 2 and $1,000 Tier 3.
Bonus threshold not met	Y_open=$490,000; N=$10,000	NewEntitlement=$0.00 at exactly $500,000.
Bonus threshold crossed	Y_open=$490,000; N=$20,000	NewEntitlement=$200.00 on the $10,000 excess.
Producer capacity	Producer prebonus=$13,000; Q=$100,000	Capacity=$0; bonus paid this statement=$0 even if bonus balance is positive.
Overlay trigger	Prior quarter values $150,000 and $149,999	Overlay off; both must be >= $150,000.
No new money	Pre-bonus pool $80,000; transfer $2,200	Final party payouts sum to $80,000, not $82,200.

SIGNATURES / TEST FIXTURE ACKNOWLEDGMENT

The signature area exists to test extraction of named signatories and execution blocks. No signature is populated, and the conspicuous synthetic-test designation overrides any appearance of legal execution.

Canonical party key	Authorized signature	Date
ARTIST	_____	_____
FEATURED_CREATOR	_____	_____
MANAGER	_____	_____
PRODUCER	_____	_____